Reasons for Global Mergers or Joint Ventures

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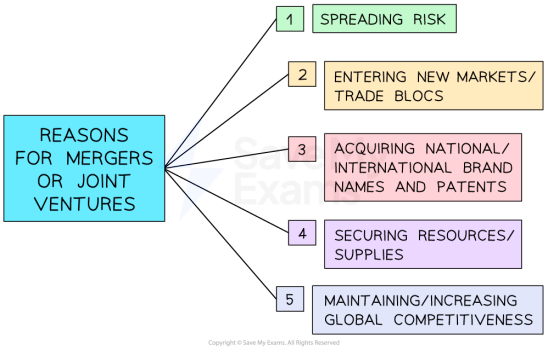
Factors driving global mergers or joint ventures

- A **global merger** is a permanent agreement between two businesses from two different countries to join together
- A **joint venture** is when two businesses join together to share their knowledge, resources and skills to form a separate business entity for a limited period of time
  - E.g. the mobile network EE is a joint venture formed by the French mobile network Orange and the German mobile network T-Mobile
- Businesses may choose these methods of reaching a new market as they may be more cost-effective than **exporting**, **licensing** and **franchising**

Reasons for mergers or joint ventures



Key reasons for global mergers and joint ventures include spreading risk and securing resources

Spreading risk

- Businesses operating in different markets spreads the risks associated with **fluctuating economic conditions**
  - If there is an economic downturn in one market, a business may still gain sales in another market that is less affected

Entering new markets/trading blocs

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foreign businesses can only **operate as joint ventures**, as this can benefit domestic businesses
- Forming a joint venture with a local company allows the joining business to **gain knowledge of and establish business in the local markets**

Acquiring national/international brand names/patents

- A **patent** is the legal right given by the government to an individual or business to make, use or sell an invention and exclude others from doing so
- **The process of developing intellectual property can be a long and expensive process**
  - Using a merger/acquisition is a method businesses can use to get access to **intellectual property** or a business with a strong reputation

Securing resources/supplies

- One business can **strategically merge or create a joint venture** with another business that has access to resources, e.g. land and raw materials
  - This allows the business to quickly gain access to resources, which helps to speed up the production process

- Businesses have to be aware of any **ethical issues** concerning the resources, as this can damage the reputation of the business; e.g. a business might be unaware that the company they are joining uses child labour

Maintaining/increasing global competitiveness

- Businesses can increase their **global dominance** by merging or joining with another business
- By expanding, a business can benefit from economies of scale, which leads to lower costs
  - Businesses can reduce prices, which can increase sales, leading to a larger **market share**

Benefits and drawbacks of global mergers and joint ventures

Benefits	Drawbacks
• **Economies of scale** gained from costs spread over larger output can lead to increased profit margins • The **diversification of risk** due to having products in several markets, so if there is a fall in sales of certain products, the business can still generate	• The **initial costs** of merging can be significantly high • There is no guarantee that a business will gain a return on its initial investment if it is not successful • **Diseconomies of scale** can occur due to communication issues

new markets that may otherwise be closed to the business	between the two businesses can affect the quality of the business, leading to poor sales • When two businesses join together, **redundancies** can occur ○ This can affect the motivation of remaining workers

Examiner Tips and Tricks

In Paper 1, you may have to evaluate the strengths and weaknesses of a potential merger/takeover or joint venture. You can use extracts A–D for the application, but words 'such as' in the question means you can base the application on any similar business
The examiner recommends that students read quality newspapers, financial publications and reputable websites to become familiar with various business contexts that can be referred to in their exam answers

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